

2015-2016 - Econ590 - Topics in Macroeconomics - Beaudry & Portier - Assignment 4

RBC model meets New Keynesian model

- ▶ Write a model that has the structure of the New Keynesian model we saw in class but in which firms use labor *and* capital as inputs, as in the RBC model.
- ▶ You will assume that there is a stationary TFP shock and a monetary shock to a standard Taylor rule.
- ▶ For simplicity, assume away deterministic growth of population and of productivity.
- ▶ Check on Fabrice Collard's page for an example [here](#).
- ▶ Do not linearize the model but solve it using DYNARE and compute impulse responses to technological and monetary shocks.
- ▶ You can look at Eric Sims's page [here](#) for a short introduction to DYNARE.
- ▶ You will also need to get DYNARE for MATLAB from the DYNARE webpage : <http://www.dynare.org>.